

Stafford Loans

The most common type of student loan is a Stafford loan. These are either subsidized, meaning that the federal government pays the interest while you're in school and during grace and deferment periods, or unsubsidized, which means you're responsible for interest during these periods.

If you didn't pay the interest while you were in school, you'll have a larger loan balance to pay now that you've graduated or dropped out, because the interest was capitalized, or added to the balance of your loan. Your monthly payments will be higher and you'll pay more interest over the life of the loan. You can use the online calculator on the Sallie Mae website at www.salliemae.com to estimate the accrued interest on your loan and your new loan balance after deferment.

Grace Periods

The day after you graduate, withdraw, or drop to less than half-time status, your six-month grace period begins (some types of loans have different grace periods). You're allowed one grace period per loan, during which no principal payments are required. Your first loan payment will be due approximately thirty to forty-five days after the end of your grace period.



Be sure to notify your lenders of your current address so they can contact you during your grace period to let you know the amount of your monthly payments, the payment due dates, how long it will take you to repay your loans, and the current interest rates.
